RETENTION, NOT PRICE

Twelve months on a 1,000-user cohort: revenue fell 52.6% almost entirely because subscribers left — the price each one pays barely moved.

1,000 → 476 USERS **$18,000 → $8,540** MONTHLY REVENUE ARPU **FLAT** 12 MONTHS · 1 COHORT

THE BOTTOM LINE

Revenue is down because the base shrank, not because monetisation weakened. The active base halved over the year (1,000 → 476, 47.6% retained), while ARPU held near $18 the whole time (a -0.3% move). A formal decomposition attributes **99.7%** of the revenue decline to lost users and only **0.3%** to price/mix. So the lever is **retention** — keeping the early-month users who are leaving fastest — not pricing or packaging. One quick win sits alongside it: **$7,330** (4.8% of billable) leaked to failed payments on still-active accounts, which is potentially recoverable.

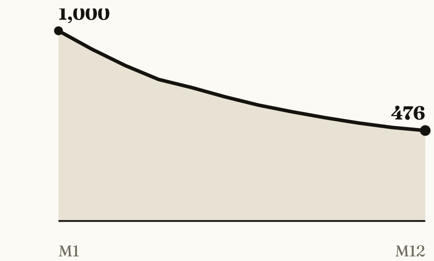
-52.6%
REVENUE, M1 → M12

47.6%
USERS RETAINED AT M12

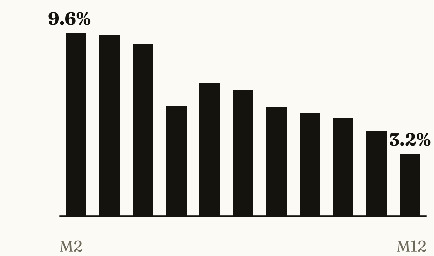
$7,330
ADDRESSABLE FAILED-PAYMENT LEAKAGE

WHAT THE DATA SHOWS

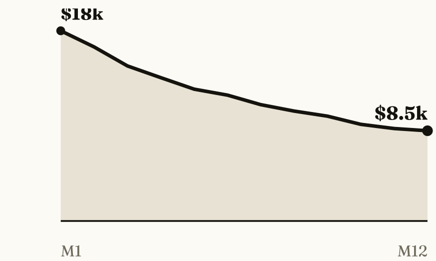
The base halved
Active users, month 1–12



Churn is front-loaded
Monthly churn rate, month 2–12



Revenue follows volume
Monthly revenue, month 1–12



WHY REVENUE FELL — DECOMPOSITION OF THE $9,460 DECLINE

Volume effect — the base shrank from 1,000 to 476 **Price/mix effect** — ARPU moved -0.3%, premium share held ~19–20%

Separately, **$7,330** *(4.8% of billable) was lost to failed payments on active accounts — involuntary, not a cancellation, and potentially recoverable via dunning.*

WHAT TO DO MONDAY

1 Recover failed payments QUICK WIN
~**$7,330** a year leaks from active users whose charge failed — not churn, just a broken charge. A dunning flow (retries, card-update prompts) recovers a share of it with minimal product work. **Owner:** payments / eng.

2 Fix early-month retention MAIN LEVER
Churn is highest in months 2–4 (9.6% → falling) and eases to 3.2% by M12. The damage is at onboarding. Investigate the drop after month 4 — test whether it reflects onboarding, cohort mix, or how the data was simulated — then replicate what works earlier. **Owner:** product / growth.

3 Refill the top of the funnel
It is a closed cohort with no new users, so the base can only fall. Even at the improved 3.2% churn, revenue keeps sliding without acquisition. This cohort view cannot measure acquisition efficiency, but it shows why acquisition is needed to offset natural decay. **Owner:** growth / marketing.

FACT
Early-month churn dominates and ARPU is flat — both read directly from the data. Revenue decline is a **volume** story.

HYPOTHESIS TO TEST
Some early churn may be **off-target leads**. The current dataset has no acquisition channel, so this needs channel + pre-purchase data to confirm — not asserted here.

NOTE ON THE DATA
Figures come from a reproducible synthetic cohort (seed 42); the method is real, the specific numbers are illustrative. On live data the same pipeline runs; conclusions are re-derived.